

Cash CLAIMS

The IPL has declared itself "recession-proof", but the inside picture may not be so rosy

| By Sharda Ugra |

For a serious event, about serious money, and more importantly, serious cricket, there is something almost unintentionally comic about the IPL. A day after its second player auction in Goa, the IPL website headlined a piece of news that read: "Gooch Blames IPL for England Defeat", and was almost gleeful at being world-famous for being infamous.

Gooch was overreacting of course, but inside the IPL's bubble, such self-regard is almost infectious. During the auction, founding father Lalit Modi was positioned at leaping distance from the mike. After he won Kevin Pietersen in the auction, Bangalore Royal Challengers' owner Vijay Mallya, in a Hawaiian shirt and diamond studs, pumped his fists in a display of corporate muscle (such as they were), and a day later his airline cut pilot salaries.

The auction and everything around it led Modi to pronounce that the IPL was, in fact, 'recession-proof'. On first glance, it could seem so: None of the luminaries shielding themselves from Goa's sunshine with saucer-sized designer glares, flew economy into Dabolim airport. The BCCI's multiple heavyweights were also on hand for a pleasant weekend break at Fort Aguada. Eight franchises spent a total of \$7.6 million (Rs 37.13 crore) to buy 17 players. The official broadcaster Sony says TV ad rates could increase by 60-70 per cent for Season 2. The

League's latest movie-star stakeholder, Shilpa Shetty, will most likely be front and centre in what the Rajasthan Royals management are calling "musical innovations".

Recession, what recession?

A closer look, though, behind what one industry insider called the "staggering spin" of the IPL, and the story is less glitz and more gritty realism. The Royals and the Kolkata Knight Riders (KKR) said they made profits last season and Mallya announced his team had broken even. A franchise executive is still laughing, "Nobody broke even. Remember this is the Satyam era, anyone can engineer a balance sheet."

Early setbacks are normal though in launch ventures like the IPL, where firms lose money up front in hope of future profits. But Modi's visions of a worry-free, cash-rich IPL Season 2 makes some cough politely. Venkat Reddy, vice-president, operations, Deccan Chargers Sporting Ventures Ltd says, "Nothing is recession-



Rs 7.5 cr

is new sign-up **KEVIN PIETERSEN'S** salary, but this year he will play in five matches, earn Rs 2.65 cr

